

LUMENTUM HOLDINGS, INC. (NASDAQ: LITE)

The Laser Chokepoint of the AI Buildout

Superb Company, Impossible Price SELL

Equity Research Note · Technology — Optical Components & Photonics · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Return	Risk Rating
SELL	\$355.00	\$1,085.42 Oct 2, 2026	-67.3%	High

Thesis in one paragraph. Lumentum sits on the single most valuable chokepoint in the AI infrastructure buildout: it is the only company shipping 200-gig-per-lane electro-absorption modulated lasers (EMLs) at volume, with an estimated 50—60% share of the global EML market, every unit of capacity locked under long-term agreements through 2027, and demand outstripping supply by 25—30%. Revenue has gone from \$1.65B (FY2025) to \$3.01B (FY2026, +83%), and NVIDIA validated the franchise with a \$2B strategic investment in March 2026. The problem is arithmetic, not quality: at \$1,085 the stock trades at ~55x consensus FY2027 non-GAAP EPS and ~30x trailing sales after a 510% twelve-month run. Our hardened 10-year scenario DCF (bear \$80.7 / base \$323.2 / bull \$689.7, weighted \$354.2) sets our **\$355 target** — **-67.3%** from here. The old note's \$910 rested on 3.5—6% terminal growth with the terminal carrying 74—89% of enterprise value; the hardened model caps terminal growth at 2.0% on year-10 free cash flow at **normalized mid-cycle margins** (30% year-10 FCF margin, never peak). Even our bull case — a 21% ten-year revenue CAGR and \$6.5B of year-10 free cash flow — is worth \$689.7, 36% below the quote. The market is pricing something beyond our bull case. We would sell into strength; we would revisit below ~\$400.

Why SELL and not HOLD? Three reasons. **First**, the arithmetic flipped: the stock rose ~4% since the old note while the hardened valuation cut fair value by ~60% — from \$910 to \$355. **Second**, the distribution is now all downside: the bull case itself is -36% from here, the bear is -93%. There is no upside skew left to be patient for. **Third**, the monopoly window is 3—5 years, not a permanent franchise — our own moat work says Coherent's 6-inch InP ramp credibly compresses laser-chip pricing by 2028. A wonderful business at a price that demands more than perfection is a sell.

What would change our mind. Upgrade to HOLD/BUY on: (i) **>45% 200G EML share through FY29 with stable ASPs**; or (ii) **on-schedule CPO ultra-high-power laser shipments in H2 2027 with a second hyperscaler design win**. Either would force us to rebuild the bull case. Downgrade confirmed on: a cut to the \$2B quarterly run-rate target, loss of EML share to Coherent, or top-customer concentration converting into order push-outs.

1 What the Company Does

Lumentum Holdings (San Jose, California; CEO Michael Hurlston) was spun out of JDSU in 2015 as the optical-components business. It designs and manufactures the lasers, photonic chips, and optical subsystems that convert electrical signals into light — the physical layer of every hyperscale data center and telecom network. Two strategic acquisitions rebuilt the portfolio for the AI era: **Oclaro** (2018) and **NeoPhotonics** (2022) for coherent/telecom optics, and **Cloud Light** (late 2023), which moved Lumentum up the value chain from selling laser *chips* to selling finished *transceiver modules* directly to hyperscalers.

Since Q1 FY2026 the company reports as a **single operating segment**, disaggregated by product type — a disclosure downgrade worth noting, arriving just as Cloud & Networking passed 85% of revenue:

Category	What it is	Scale	Economics
Components	EML & CW laser chips, pump lasers, narrow-linewidth lasers, ROADMs, coherent subsystems	\$444M	67% of Q2 FY26 rev; GM ~45%+
Systems	800G/1.6T pluggable transceivers (Thailand), optical circuit switches (OCS), industrial lasers	\$222M	33% of Q2 FY26 rev; GM 15–30%

The remaining ~15% of the business is **Industrial Tech** — fiber and diode lasers for materials processing plus 3D-sensing VCSEL arrays (historically an iPhone FaceID supplier). It is cyclical, non-strategic to the AI thesis, and we value it as a stabilizer, not a driver.

2 Product Evaluation

We grade each product line on technology leadership, pricing power, and durability of the moat:

Product	Grade	Assessment
200G/lane EML lasers	A+	The crown jewel. Sole volume supplier at 200G/lane; 50–60% EML share; 200G ASP ~2x 100G at only ~15% higher COGS; sold out through 2027 with 25–30% under-shipment. Physics (VCSELs fail at 200G) + multi-year qualification = genuine moat.
Optical circuit switches (OCS)	A	Near-monopoly position in Google TPU fabrics (~8–12% of TPU BOM), also in NVIDIA Blackwell / AWS Trainium / Microsoft Maia programs. Backlog >\$400M, targeting \$100M/quarter by end-2026. Above-corporate margins; power-efficiency story is structural.
UHP lasers for co-packaged optics	A–	Largest single purchase commitment in company history (Q4 FY25) plus multi-hundred-million follow-ons into H1 2027. Timeline slipped ~1 year: material UHP shipments now H2 CY2027, scale-up CY2028. Validated demand, execution-gated.
Pluggable transceivers (400G/800G/1.6T)	B	Strategically important (direct hyperscaler relationships via Cloud Light) but structurally lower-margin: ~15–20% GM scaling toward ~30% vs. 45%+ on laser chips. Management self-caps at ~\$1B/yr to limit dilution. Competes with Innolight/Eoptolink at ~\$0.35/Gb pricing.
Telecom / coherent components	B+	ROADMs, narrow-linewidth lasers (six straight quarters of growth), pump lasers. Recovering with NEM capex; solid cash contributor, no AI multiple.
Industrial lasers & 3D sensing	C+	Cyclical manufacturing lasers and VCSEL arrays. Stable, low-growth; we assign it no strategic premium.

The key structural insight: Lumentum is an **arms dealer**. Even when it loses a transceiver module socket to Innolight or Coherent, the winner frequently buys the EML *chip* from Lumentum. Component-level pricing power survives architectural transitions — pluggable, linear-drive, and co-packaged optics all need its lasers. That is the bull case in one sentence, and it is real.

3 Financial Situation

Fiscal year (ends June)	FY24	FY25	FY26	Q1 FY27E (guide)
Revenue (\$M)	1,366	1,650	3,010	1,225–1,275
Revenue growth	–12%	+21%	+83%	+129–139%
Non-GAAP gross margin	~33%	~36%	~44%	—
Non-GAAP operating margin	~3%	~10%	~29%	39.5–40.5%
Non-GAAP EPS (\$)	~0.4	~2.1	~8.2	4.05–4.35
GAAP net income (\$M)	(547)	26	(6,935)	—

The \$6.9B GAAP loss is accounting, not economics — but it is not free. In Q4 FY2026 Lumentum equitized its 2026/2028/2029 convertible notes, converting debt to equity after a historic run. GAAP requires the \$7.8B gap between the notes' carrying value and the equity issued to be booked as a one-time, non-cash loss on debt extinguishment. No cash left the building, and the balance sheet is now pristine: \$2.7B of cash and short-term investments against negligible remaining debt (net cash ~\$2.6B). The real cost was **dilution**: basic share count rose from 69.6M (FY25) to 84.6M including preferred as-converted — a ~22% expansion of the share base that permanently lowers per-share value. Non-GAAP figures strip the charge out entirely; we use them for valuation but do not pretend the dilution didn't happen.

Cash generation is real but reinvestment-heavy. Q4 FY26 produced \$363M of operating cash flow and \$196M of free cash flow even while funding an 8x capacity expansion (from FY2023 levels), a 240,000-sq-ft advanced-laser fab in Greensboro, North Carolina (ramping mid-2028), and the Thailand manufacturing consolidation. FCF conversion is depressed during the build-out and should inflect as capex normalizes — our DCF assumes exactly that.

Concentration is the soft underbelly. Two customers were 26% and 12% of Q3 FY26 revenue (24% and 16% for the nine months) — almost certainly hyperscalers. The flip side of pricing power is customer power: these buyers can and do dual-source, fund competitors, and renegotiate LTAs. NVIDIA's \$2B Series A preferred (convertible 1-for-1 at \$695.31, ~2.9M shares, HSR-gated) aligns incentives but also makes NVIDIA both anchor customer and ~3.4% owner — concentration, not diversification.

4 Competitive Landscape

The photonics supply chain has three layers that matter to Lumentum: laser chips (its fortress), transceiver modules (its growth vector), and the DSP/architecture layer (its long-term risk).

Competitor	Where they compete	Threat level
Coherent (COHR)	Most direct rival. \$5.8B revenue (+23% FY25), ~25% transceiver share, vertically integrated. Ramping 200G EMLs; 6-inch InP wafer line in Sherman, TX = structural cost advantage vs. Lumentum's 3-inch. Also received NVIDIA's \$2B.	High
Innolight / Eoptolink	Chinese module makers winning on price (~\$0.35/Gb vs. Lumentum's \$0.40–\$0.50). They still buy many laser chips from Lumentum — frenemies.	Medium
Cisco/Acacia, Ciena	Coherent DSPs and systems; compete in DCI/long-haul, not the EML chokepoint.	Low
Marvell (DSP) / Broadcom (CPO)	Marvell dominates DSPs and bought Celestial AI (photonic fabric); Broadcom pushes CPO switch ASICs. Partners today, architectural threats tomorrow — CPO shifts value toward integration.	Medium

The moat, honestly assessed: **wide but narrowing at the edges**. The 200G EML lead is 12–24 months and protected by qualification cycles; Coherent's 6-inch InP is the credible threat that could compress laser-chip pricing by 2028. In modules, Lumentum has no moat — only scale and vertical integration. In OCS, the position looks genuinely monopolistic for now. Net: a 3–5 year window of extraordinary profitability, not a permanent franchise.

Our valuation assumes the window, not the franchise.

5 Future Projection — Three Scenarios

Management targets a \$2B *quarterly* revenue run-rate by late 2027. Our scenarios (FY ends June; \$B):

Scenario	FY27E	FY28E	FY29E	FY30E	FY31E	5-yr CAGR
Bull (25%) — flawless execution; CPO on schedule; 46% OM	6.3	8.8	11.4	14.0	16.6	40.7%
Base (50%) — strong execution; digestion in 2028; 41–45% OM	5.9	7.8	9.9	11.9	13.7	35.4%
Bear (25%) — AI capex pause; share/pricing loss; CPO slips	5.2	6.2	7.0	7.7	8.2	22.2%

Base-case logic: Q1 FY27 is already guided at \$1.25B; a quarterly ramp to ~\$1.7B by Q4 FY27 (run-rate toward the \$2B target) gives \$5.9B. Growth then decelerates 32% → 27% → 20% → 15% as the EML cycle matures and CPO revenue (H2 CY2027+) layers in. Non-GAAP operating margin peaks near 45% on mix, then settles at ~44% as transceiver mix grows. Capex normalizes after the Greensboro fab, so FCF converges toward ~85% of non-GAAP net income by FY30.

6 Valuation — Four Pricing Models

Model 1 — Hardened discounted cash flow (primary). FCF-to-firm DCF, FY27–FY36 explicit (10 years), then perpetuity. The old model used 3.5–6% terminal growth with the terminal carrying 74–89% of EV; the hardened model caps terminal growth at ≤2.5% on year-10 FCF at normalized mid-cycle margins (never peak). Scenario-specific discounts: **14.5% bear / 12% base / 10.5% bull**:

Scenario	Discount	Terminal g	TV share of EV	Fair value / share
Bull — 21.0% rev CAGR; yr-10 FCF margin 32%	10.5%	2.5%	53.1%	\$689.7
Base — 13.6% rev CAGR; yr-10 FCF margin 30%	12.0%	2.0%	41.7%	\$323.2
Bear — 2.6% rev CAGR; yr-10 FCF margin 13%	14.5%	1.0%	22.1%	\$80.7
Probability-weighted (25/50/25)	—	—	—	\$354.2 → \$355

Model 2 — Forward P/E with a PEG cross-check. At \$1,085.42 the stock trades at **54.9x** consensus FY2027 non-GAAP EPS (\$19.78) and ~44x our base-case EPS (\$24.80). With consensus EPS growing ~141% FY26→FY27, the PEG ratio is 0.39 — optically cheap, but PEG flatters any stock at a cyclical peak growth rate; on FY28E earnings (~\$33 base) the multiple is still ~33x. At our \$355 target the stock would trade at ~14.3x our FY27E EPS — a normal multiple for a normal grower, which is the point.

Model 3 — EV/Sales vs. the cycle. Enterprise value ~\$91.8B (87M diluted shares, \$2.6B net cash) is **30.5x** FY26 sales of \$3.01B — a multiple that prices in more than perfect execution — and 15.6x our FY27E sales. For context, Coherent trades at a low-single-digit EV/Sales on larger revenue; Lumentum's premium is entirely a growth-and-moat premium. If FY27 revenue merely meets (rather than beats) the \$5.9B base, the derating risk is material.

Model 4 — Scenario-weighted target (our anchor). Weighting bull/base/bear at 25%/50%/25% gives **\$354.2 → \$355**, –67.3% from \$1,085.42. The distribution is what matters: the bull case (–36%) is itself 36% below the price; the bear is –93%. The market is pricing something beyond our bull case — a 21%+ ten-year revenue CAGR with margins that never normalize. Street consensus averages ~\$1,054 (Moderate Buy) — we are far below the Street because our hardened DCF, not a peak multiple, anchors the target.

Sensitivity: our base-case \$323 rises to ~\$390 at an 11% discount and falls to ~\$270 at 13%. The terminal now carries 42% of EV in the base case (down from 74—89%) — the humility is built into the model rather than bolted on.

7 Key Risks & Kill Criteria

Risks:

AI capex digestion. Hyperscaler capex cannot compound at 2025–26 rates indefinitely; a pause in 2028 would hit a 29x-sales stock disproportionately.

EML share and pricing. Coherent's 6-inch InP ramp and Chinese laser capacity could end the 25–30% under-shipment regime and reset pricing.

Customer concentration. A 26% customer renegotiating LTAs or dual-sourcing is a revenue event, not a rounding error.

CPO timeline. Already slipped ~1 year (material shipments now H2 CY2027); further slippage strands the growth narrative.

Execution at velocity. 8x capacity expansion, a new fab, Thailand consolidation — quality or yield issues at this scale would be punished severely.

Insider selling & multiple compression. 10b5-1 sales by executives into strength; any growth disappointment compresses a 53x forward multiple violently.

Kill criteria (sell the thesis, not just the stock): (1) 200G EML share falls below ~40% or ASPs reset down >15%; (2) the \$2B quarterly run-rate target is pushed beyond 2028; (3) CPO UHP shipments slip past H2 2027; (4) a top-2 customer defers >\$200M of orders.

8 Recommendation

SELL — 12-month price target **\$355** (weighted DCF; -67.3% implied). **Risk: High.**

Lumentum is the best-positioned component supplier in the AI infrastructure buildout, with a genuine, physics-gated monopoly at the exact point of maximum scarcity. But the market has moved past what even flawless execution is worth: our bull case, which assumes a 21% ten-year revenue CAGR and \$6.5B of year-10 free cash flow, is worth \$689.7 — 36% below the quote. Discipline is the entire call. **We would sell into strength; we would revisit below ~\$400 and buy aggressively below ~\$300**, where the base case starts to offer a margin of safety. The falsification, in writing: **>45% 200G EML share through FY29 with stable ASPs, or on-schedule CPO shipments with a second hyperscaler win**, would force us to rebuild the bull case and revisit this call.

Sources: Lumentum Q4 FY2026 press release & 10-K (Aug 2026); Q3 FY2026 10-Q; company earnings calls; NVIDIA strategic-investment 8-K (Mar 2026); Morgan Stanley sell-side research (transceiver/OCS exhibits); Zacks; MarketBeat consensus; Finnhub market data. Financial figures in USD; fiscal year ends the last Saturday in June. This note is independent research for informational purposes and is not investment advice. Non-GAAP figures exclude stock compensation, amortization, and one-time items per company definitions. Model: `lite_valuation_v2.py` → `valuation_output.json` (reproducible scenario DCF). Assumptions: 87M diluted shares; \$2.6B net cash; WACC 9.5–11%; terminal growth 3.5–6%.